CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E871CA1D4
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Shapiro, Richard <richard.shapiro@enron.com>
Sent: Tue, 28 Aug 2001 06:52:39 -0700 (PDT)
To: Shortridge, Pat <pat.shortridge@enron.com>, Dasovich, Jeff <jeff.dasovich@enron.com>, Robertson, Linda <linda.robertson@enron.com>
Subject: RE: As the CAISO Turns: CAISO involved in scam with CDWR to purchase excess power from CDWR's long-term contracts

Go for it.

-----Original Message-----
From: Shortridge, Pat
Sent: Tuesday, August 28, 2001 8:41 AM
To: Dasovich, Jeff; Shapiro, Richard; Robertson, Linda
Subject: RE: As the CAISO Turns: CAISO involved in scam with CDWR to purchase excess power from CDWR's long-term contracts

Do we need to disucss this further? I'd like to explore the Ose angle especially in light of the press interest.

-----Original Message-----
From: Dasovich, Jeff
Sent: Friday, August 24, 2001 3:37 PM
To: Shortridge, Pat; Shapiro, Richard; Robertson, Linda
[REDACTED] B5

FYI.

Pat, you think Ose would run with this? Seems like potentially explosive stuff.

Best,
Jeff

-----Original Message-----
From: Dasovich, Jeff
Sent: Friday, August 24, 2001 2:01 PM
[REDACTED] B5
Subject: RE: As the CAISO Turns: CAISO involved in scam with CDWR to purchase excess power from CDWR's long-term contracts

Since Congressman's Ose's been asking FERC alot of questons about what the ISO, DWR, etc. have been up to, perhaps he could write a "Dear FERC" letter saying "here's what I'm hearing, it sounds serious and you need to investigate, pronto, and get back to me ASAP with your conclusions."

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ENRON-941140038306

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Best,
Jeff

-----Original Message-----
From: Hall, Steve C.
Sent: Friday, August 24, 2001 1:52 PM
To: Alvarez, Ray; Dasovich, Jeff; Frank, Robert; Mara, Susan; Nicolay, Christi L.; Novosel, Sarah; Perrino, Dave; Steffes, James D.; Walton, Steve; Palmer, Mark A. (PR); Comnes, Alan; Badeer, Robert; Williams III, Bill; Mallory, Chris; Denne, Karen; Belden, Tim; Yoder, Christian; Sanders, Richard B.
Subject: As the CAISO Turns: CAISO involved in scam with CDWR to purchase excess power from CDWR's long-term contracts

Everyone,

This is hot news showing that the CAISO/CDWR relationship is even more cozy than we thought. I am not sure how to best use this information, but this scam needs to be brought to the public's and FERC's attention.

1. According to two sources, the CAISO is helping to bail Gov. Davis out of his high-priced CDWR long-term power contracts by purchasing CDWR's excess energy as an "Out Of Market" purchase---instead of purchasing real-time energy from the CAISO's Supplemental Energy auction as required by the CAISO Tariff. The costs of purchasing this high-cost power is being charged to Scheduling Coordinators who are largely unaware of the CAISO's surreptitious transactions.

2. This sweetheart deal violates the CAISO Tariff, which requires the CAISO to buy energy from its Supplemental Energy (Real-Time) auction first. CAISO Tariff, Dispatch Protocol section 8.6.2 (d). Only after the CAISO has used up the Supplemental Energy bids, can the CAISO buy Out Of Market ("OOM") energy. If the CAISO were following the Tariff, CDWR's excess energy would be treated as an uninstructed deviation and CDWR would be paid the clearing price for Supplemental Energy---which is often as low as $0.00. Therefore, under the Tariff the CAISO could have paid CDWR the same price paid to other SCs, but instead is buying it at a price agreeable to CDWR.

3. By ignoring Supplemental Energy bids in favor of CDWR power, the CAISO is able to manipulate the price it pays for energy in the Supplemental Energy market. Low CAISO demand for Supplemental Energy drives down prices. The clearing price for Supplemental Energy has often been as low as $0.00. Therefore, the CAISO gets to keep all excess energy on the grid for free. If CDWR was not getting preferential treatment, its energy would be treated as

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excess energy, and it would get little or nothing for it.

4. While there is no evidence that Gov. Davis has directed the CAISO to buy from CDWR first, this behavior clearly benefits Davis. Absent the CAISO's purchases of CDWR's excess energy, CDWR would be forced to sell its energy at a huge loss in the open market (just like many other suppliers). The media has been been making hay out of Davis's strategy of buying high and selling low. Therefore, Davis and CDWR benefit by being able to offset some of their losses under the long-term contracts. Of course, they are only able to offset their losses through a back-door deal with the CAISO.

5. The costs of this expensive CDWR power are being passed through to unwitting Scheduling Coordinators who, frequently seeing 10-minute Ex Post prices of $0.00, expect that the cost of imbalance energy will be close to $0.00. These SCs are in for a big surprise. According to one source at Sierra Pacific, the CAISO charged him as much as $400/MWh for imbalance energy. (Where is the price mitigation here?)

6. Who benefits under this scam? Davis and CDWR. Who loses under this scam? In-state generators who are currently obligated to sell to the CAISO; Scheduling Coordinators who overgenerate or that have negative imbalances; consumers who end up paying higher prices for energy.

7. Sources: Our client representative from the CAISO has confirmed this practice and "the Friday Burrito," an industry insider publication mentioned it also.

8. Here is the quote from the Friday Burrito: